v. Capacity of the Manufacturer

A financially strong producer may select a high technology oriented channel which will reduce cost in the long run. Manufacturers with large volume of production may open direct branches in cities and towns where there is more sales. They can also provide more services expected by consumers. Small and medium producers require the services of middlemen for selling their products. A producer offering wide range of products can have a long channel as he can defray the cost of distribution over more number of products.

vi. Cost and Time Involved in the Channel of Distribution

The channel cost should go along with the quality of service provided by middlemen. Ordinary goods are routed through economical channel even though the time taken by the channel for delivery is more.

vii. Services Required along with the Product

Machinery or equipment which need to be installed and demonstrated should be sold with shorter channel. Technical services can be provided by manufacturers or by their trained technicians. Therefore a shorter channel is preferred for sales.

viii. Life Cycle of the Product

An established product can select an ordinary channel. But a new product entering into the market should be carefully promoted by experienced middlemen.

23.04 Middlemen

The term 'Middlemen' refers to all those who are in the link between the primary producer and the ultimate consumer in the exchange of goods or service. The various intermediaries can be broadly classified into two main categories.

1) Mercantile Agents

2) Merchant Middlemen

(1) Mercantile Agents

Mercantile Agents are also called functional middlemen. A businessman appoints a person to buy and sell goods on his behalf and gives him the right to borrow money on the security of goods. He is known as mercantile agent. He is not given ownership title of the goods. He is paid commission on his turnover.

23.05 Kinds of Mercantile Agents or Agent Middlemen

i. Brokers
ii. Factors
iii Commission Agents
iv. Del-credere Agents
v. Auctioneers
vi. Warehouse keepers.

(i) Brokers

A Broker is one who bargains for another and receives commission for his service. He is paid 'brokerage' for his services .He brings buyer and the seller to the negotiating process and arranges for finalising contracts between them. The principal businessman does not pass on either possession of goods or the ownership of goods to the broker. The broker is not personally liable for the contracts concluded.

Commerce 16-25.indd 225 10/12/2022 16:33:19